ZOMATO FOOD DELIVERY · TIER-1 CITIES

Where first-time orderers leak, and which leak to fix first

THE ANSWER

Fix Menu → Cart first. It loses the most users of any stage: 21 of every 100 app opens.

THE NUMBER

Menu → Cart from 70% to 73% lifts delivered orders per 100 app opens from **29 to about 30.3**.

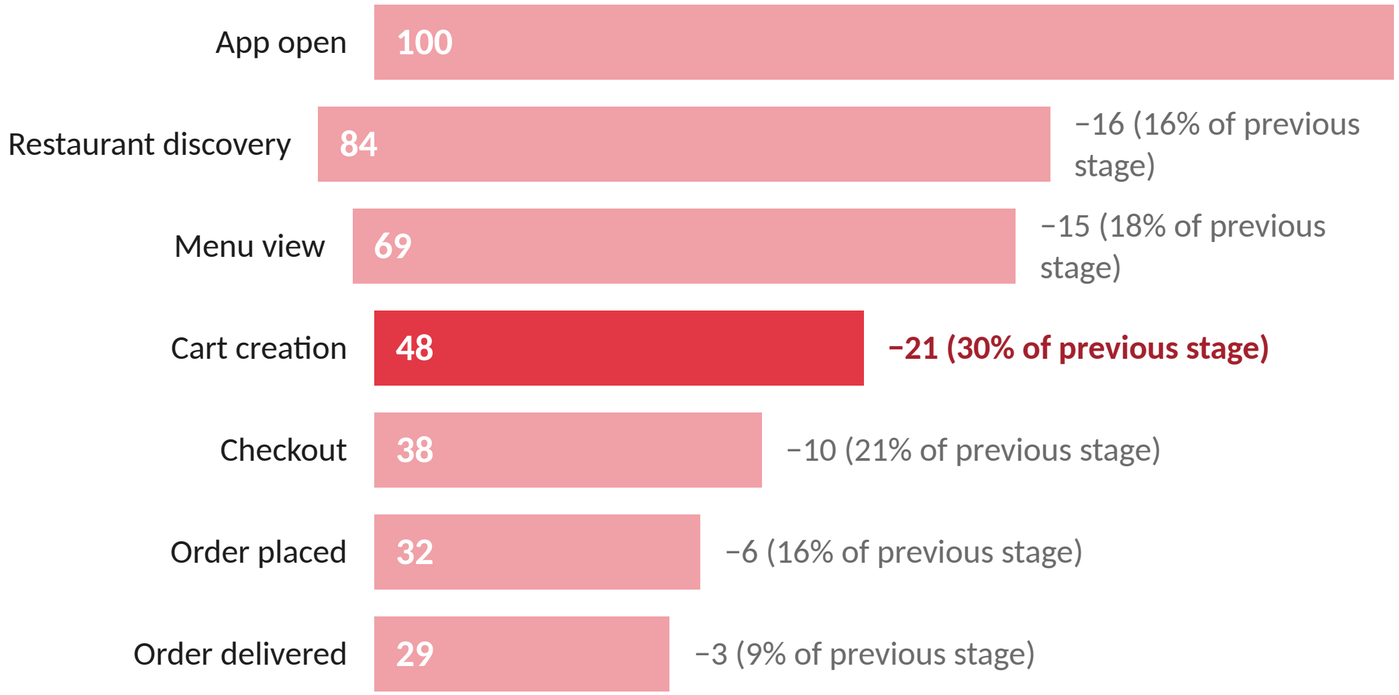
THE CAVEAT

Every figure marked P is a planning figure. Phase 1 replaces each one with Zomato's own data.

Scope: Bengaluru, Mumbai, Delhi-NCR, Hyderabad, Chennai, Pune. Journey: Discovery → Order → Delivery.

Part 1 · Funnel: the biggest leak is Menu → Cart

Per 100 app opens in a Tier-1 city. All figures are planning figures P, replaced by Phase 1 baseline data.



Reading it

- Menu → Cart loses **21 users**, 30% of those who viewed a menu. No other stage loses more.
- Cart → Checkout loses 10, but these users already chose food, so each one is easier to win back.
- Delivery loses only 3. Its real cost shows up later, as customers who do not reorder.
- Overall: **29 of 100** app opens end in a delivered order.

Where users leave, and one hypothesis per stage

Hypotheses are numbered H1 to H7 and carry through to the metric ladders.

Stage	Likely drop-off cause	Hypothesis to test
1 · App open	Same home screen at 1 PM weekday and 10 PM Saturday	Time, location and recent orders on the home feed raise the share of opens that reach discovery
2 · Discovery	Many restaurants with similar ratings; ratings alone do not separate them	Showing delivery time, price range and cuisine side by side gets users to a menu faster
3 · Menu view	Hundreds of items; first-timers cannot tell what to pick	Popular dishes, portion size and all-in price lift the share of menu views that add an item
4 · Cart	Item price Rs 280 becomes more after delivery, platform fee and tax; or Rs 60 short of free delivery	Showing a realistic final price earlier, plus what is needed to unlock a benefit, cuts cart abandonment
5 · Checkout	UPI first attempt fails; pin finds the society but not the tower or gate	Fewer repeat payment and address steps for returning users lifts checkout completion
6 · Order placed	35 minute ETA keeps growing; no rider assigned	Clear updates when prep or rider assignment slips reduce cancels and support contacts
7 · Delivered	Marked delivered, but late, cold, spilled or wrong; unhappy users just open another app	Flagging likely bad deliveries and fast resolution raises the chance of a reorder

Part 2 · Cohorts: built so retention is not baked in

Cohorts are fixed by Month-0 behaviour first. Retention is measured afterwards, so the retention number is never part of the definition.

Month 0: days 0–30 from first order	M1: days 31–60	M2: days 61–90	M3: days 91–120

Cohort and segment are assigned here

Retention is read here. Retained = at least 1 successful order in the window (cancelled and refunded orders do not count).

View 1: by start month

Group users by the calendar month of their first order. Read how each month's group decays from M0 to M3. This shows whether retention is getting better or worse over time.

View 2: by Month-0 behaviour

Inside each start-month group, split by what the user did in Month 0:

- **Early-frequent:** 3 or more orders
- **Offer-led:** first order used a coupon and over half of Month-0 orders were discounted
- **Everyone else:** 1–2 orders, mostly full price

Cohort read 1: do newer cohorts hold on better?

Illustrative retention by start month P. Replace with real data in Phase 1; the reading rules stay the same.

First-order month	M0	M1	M2	M3
Jun	100%	46%	36%	28%
Jul	100%	47%	36%	29%
Aug	100%	47%	37%	not yet
Sep	100%	45%	not yet	not yet

Aug and Sep cohorts have not reached M3 yet, so they show “not yet” instead of an estimate.

How to read it

- **Down a column:** are newer cohorts better or worse at M1? Here they are flat at 45–47%, so nothing recent has moved retention.
- **Along a row:** does the curve flatten? Jun loses 10 pts, then 8 pts. It is still falling, so there is no stable core yet.
- **What it tells us:** the loss is built in the first month after the first order. That points at activation, not at late-life churn.

Cohort read 2: the biggest loss is the quiet group

The same cohort split by Month-0 behaviour. Shares and rates are illustrative P and blend to the 46% M1 and 28% M3 above.

Month-0 segment	Share of new users	M1	M3	Users lost M1→M3 per 100 new
Early-frequent (3+ orders in M0)	15%	70%	55%	**2.2**
Offer-led	35%	52%	33%	**6.7**
Everyone else (1–2 orders, full price)	50%	35%	16%	**9.5**

Ranking rule

Rank segments by **share × (M1 − M3)**: how many users per 100 new ones disappear after the first month. Do not rank by the lowest retention rate alone.

What the rule says here

“Everyone else” is half of all new users and loses 9.5 per 100, more than offer-led users (6.65) or early-frequent users (2.25). So **new-user activation (H8) goes first**, then discount dependence (H10), then frequency (H9).

Why each group leaves, and one hypothesis each

Reasons are hypotheses. Each has a check that Phase 1 data can confirm or kill.

Segment	Why retention may fall	Check, then hypothesis
Everyone else 35% → 16% P	No habit formed. One or two full-price orders, no reason to prefer Zomato over a second app. A bad first delivery would hit this group hardest.	**Check:** M1 retention by first-order on-time vs late. **H8:** showing relevant picks and a reorder prompt after the first delivery lifts the 14-day second-order rate.
Offer-led 52% → 33% P	New-user coupons run out. After the last discounted order the same meal costs more, and a rival app with a live coupon is one tap away. The fall should line up with **coupon exhaustion**, not the calendar.	**Check:** re-plot retention by months since last coupon. If the cliff follows it, the cause is confirmed. **H10:** a predictable benefit (for example Gold-style free delivery) holds users better than a coupon series.
Early-frequent 70% → 55% P	Habit exists, but friction repeats: re-entering the same address or payment, and slipping to another app on a bad night.	**Check:** share of their orders that are exact repeats. **H9:** a one or two tap reorder lifts monthly orders per user.

What goes first, and why delivery is not last

Two tracks run in parallel because they use different data and different teams.

FUNNEL TRACK

1. Menu → Cart (H3)

Largest leak: 21 users per 100 opens, and the fix is inside one session, so it tests fast.

2. Cart → Checkout (H4, H5)

Only 10 lost, but each user already chose food.

RETENTION TRACK

1. New-user activation (H8)

Largest loss per 100 new users after the first month (slide 6).

2. Discount dependence (H10), then frequency (H9)

DELIVERY (H6, H7)

Moved up, with a rule

Delivery is not left to “monitored continuously”. The open question: does a bad **first** delivery cause the new-user loss?

Phase 1 rule: if new users with a late first order retain ≥10 pts worse at M1 P, delivery for first orders becomes Priority 1.

Zomato context. Gold: members already get free-delivery benefits, so H4’s free-delivery nudge is tested on non-members. **Swiggy:** both apps are one tap apart, so offer-led users are the most likely to switch. **Margin:** every test reports contribution margin per order, so a conversion win bought with discounts does not pass.

Part 3 · North Star and how each metric ladder is built

North Star: successful, on-time orders per monthly active user. Cancelled and refunded orders do not count. Track by city, lifecycle stage and meal slot.

Input

What we change or control.

e.g. share of menus showing popular dishes and all-in price

Output

Direct result of the change, and each solution's own North Star.

e.g. add-to-cart rate

Leading indicator

Early signal, days to weeks.

e.g. scroll depth before first add

Lagging indicator

Longer-term impact, weeks to months.

e.g. orders per MAU

Guardrail

What must not get worse. Business risks first, tech health second.

e.g. contribution margin per order

The next two slides give one row per hypothesis: the solution's own North Star, then input, output, leading and lagging. Guardrails follow on slide 12.

Metric ladders: funnel hypotheses H1 to H6

Hypothesis	Solution North Star	Input	Output	Leading	Lagging
H1 Context-aware home feed	**Restaurant discovery rate**	% opens shown time, location and past-order relevant content	Discovery rate	Home taps, scroll depth, search use	Orders per MAU
H2 Easier restaurant comparison	**Menu view rate**	% restaurant cards with ETA, price range and cuisine	Menu view rate	Time to first menu view	Orders per session
H3 Better menu decisions	**Menu → Cart rate**	% menus showing popular items, photos, portion size, all-in price	Add-to-cart rate; items per cart	Scroll depth before first add	AOV; orders per MAU
H4 Transparent cart price	**Cart → Checkout rate**	% carts showing full breakdown; % crossing free-delivery bar	Cart abandonment	Cart exit rate; coupon-page exits	Completed orders per MAU
H5 Easier payment and address	**Order placed rate**	% users with saved payment; % addresses with tower or gate	First-attempt payment success	Retry rate; time to place order	Payment-failure churn
H6 Delivery updates	**On-time delivery rate**	% orders with timely status updates; rider assignment time	% delivered within ETA	Rider assignment time; tracking opens	30-day repeat rate

Metric ladders: H7 and the cohort hypotheses H8 to H10

Hypothesis	Solution North Star	Input	Output	Leading	Lagging
H7 Faster issue resolution	**Issue-free delivered rate**	% orders auto-flagged; % complaints answered in SLA	Issue resolution rate	Time to first response; self-serve resolution	Repeat rate of affected users
H8 New-user activation	**2nd order within 14 days**	% new users shown relevant picks; % reorder prompt shown	2nd-order rate (14 days)	Prompt click-through	M3 retention, new users
H9 Easier reorder	**Orders per early-frequent user per month**	% users shown reorder shortcut; % using 1–2 tap reorder	Reorder usage rate	Reorder click rate; time to reorder	Monthly order frequency
H10 Predictable benefit over coupons	**Non-discounted order share**	% users offered a predictable benefit; % orders with no coupon	Non-discounted order rate	Benefit adoption; orders after enrolment	Contribution margin per order

H8 to H10 act on the cohorts from slide 7: H8 on “everyone else”, H9 on early-frequent users, H10 on offer-led users.

Guardrails: business risks first

Crash rate and load time stay as release checks. These guardrails cover what the business could actually lose.

Hypothesis	Guardrail metric	Risk it protects against	Stop threshold
H1, H2	Order share of top 20% restaurants (concentration)	Restaurant partners: more clicks must not mean a narrower set wins all orders	Not above control +3 pts P
H3	Contribution margin per order; AOV	A better menu must not win conversion through smaller or discounted carts	Margin and AOV within −2% of control P
H4, H5	Cancellation + refund rate; discount cost per order	Showing price earlier must not push the cost into coupons	Not above control +0.5 pt P
H6, H7	Refund cost per order; false-flag rate	Faster resolution must not become refund abuse	Refund cost within +3% of control P
H8, H9	Notification opt-out rate; 30-day repeat rate	Reorder and recommendation prompts must not annoy, and the lift must last	Opt-out ≤ +1 pt; repeat not below control P
H10	Order volume of offer-led users; share moving to a rival app	Cutting coupons must not just push users to Swiggy	Volume drop ≤ 5% of control P

Release checks, all tests: app crash rate, screen load time, payment and OTP failure rate. Thresholds are starting values; finance should confirm the margin ones.

Test plans for the top of each track

Two tests: H3 (funnel track, priority 1) and H8 (retention track, priority 1). Baselines are planning figures P; sample sizes are for 95% confidence and 80% power.

H3 · MENU → CART

- **Change:** popular-dish tags, portion size and all-in price on menus.
- **Who:** menu-view sessions in 2 Tier-1 cities, 50/50 split.
- **Baseline:** 70% (48 of 69) P
- **Target lift:** +3 pts, to 73%
- **Sample:** about **3,600 menu-view sessions per arm**. Days needed = 3,600 ÷ daily menu-view sessions per arm, from the Phase 1 baseline.
- **Ship if:** lift ≥ +2 pts and margin per order within −2% of control. **Stop if** margin falls more than 2%.

H8 · NEW-USER ACTIVATION

- **Change:** after the first delivered order, show relevant picks and a reorder prompt.
- **Who:** new users in the same cities, randomised at first order.
- **Baseline:** 30% place a 2nd order within 14 days P
- **Target lift:** +3 pts, to 33%
- **Sample:** about **3,800 new users per arm**. Read the 14-day result, then M1 retention a month later.
- **Ship if:** lift ≥ +2 pts and opt-out ≤ +1 pt. **Stop if** opt-outs rise by more than 1 pt.

TOP PRIORITY

Fix Menu → Cart first, and measure it in delivered orders.

THE MOVE

70% → 73%

Menu → Cart conversion P

THE RESULT

29 → 30.3

delivered orders per 100 app opens, about +4.5%, with later stages unchanged

Right behind it: new-user activation (H8), because “everyone else” loses the most users after the first month. **Phase 1 decides if that order holds:** instrument the funnel, rebuild cohorts by start month, and test whether a late first delivery drives the new-user loss.

Scale: food delivery net order value was ₹11,445 crore in Q2 FY27 S. If the funnel holds, each +1% in delivered orders is about ₹114 crore of quarterly order value C.

Public numbers used, and what each one changes

Zomato does not publish funnel or cohort data, so those stay labelled planning figures P. These public figures set the scale and the margin limits.

#	Source (date)	Figure	How it is used
[1]	**Kotak Neo**, Eternal Q2 FY27 results, 21 Oct 2026 kotakneo.com/news/stocks/eternal-q2-results-profit-rises-revenue-growth-blinkit-adds-stores/	Food delivery net order value ₹11,445 crore, up 21.5% year on year. Adjusted EBITDA ₹627 crore, up 25%. S	Margin ≈ 627 ÷ 11,445 = **5.5% of order value** C. A coupon costing 3% of order value uses over half of it, so the discount-cost guardrail on slide 12 is tight. 1% of orders ≈ ₹114 crore a quarter C.
[2]	**Asianet Newsable**, Eternal Q2 FY26 review, 16 Oct 2025 newsable.asianetnews.com/amp/markets/eternal-q2-review-blinkit-leads-growth-but-ceo-warns-of-slow-recovery-in-food-delivery-growth-articleshow-oqy4l9r	Monthly transacting customers 24.1M, up from 22.9M the quarter before. Food delivery order value growth had fallen five quarters in a row; CEO: recovery “slower than anticipated” (soft discretionary spend, quick commerce, weather). S	Net adds of about 1.2M customers in one quarter C mean first-order activation (H8) touches over a million users a quarter. Soft demand is why conversion at each stage is worth more than acquisition.

Still planning figures

All funnel stage rates, start-month retention and segment shares. They are placeholders for Phase 1 baseline data, and every test plan states its own baseline.

Checks that need Zomato data

Gold members’ share of orders, average order value, and cost per coupon order. They decide H4 and the discount guardrail and are not published.

S sourced · C calculated from stated inputs · P planning figure